**FINANCIAL ACCOUNTING AND REPORTING**

Suggested Answers
Nov-Dec 2022

**Answer to the Question# 1 (a):**

The revaluation gain on 1 January 2021 is:
Tk. (72,000 - 30,000)
= Tk. 42,000

If the previous downward revaluation had not taken place the carrying amount on 31 December 2020 would have been:
Tk. 140,000 less five years' depreciation Tk. 70,000 (14,000 x 5)
= Tk. 70,000

The excess revaluation gain recognized in other comprehensive income is:
Tk. (72,000 - 70,000)
=Tk. 2,000

The amount recognized in profit & loss is:
Tk. (70,000 - 30,000)
=Tk. 40,000

**Answer to the Question# 1 (b):**

On 1 January 2021 the land is revalued to Tk. 700,000. The gain of Tk. 100,000 (700,000 - 600,000) should be recognized in other comprehensive income and held in revaluation surplus. The land should then be classified as held for sale and the costs to sell of Tk. 20,000 recognized in profit & loss as an impairment loss. The carrying amount should now be at Tk. 680,000.

Upon sale a further loss of Tk. 10,000 (680,000 - 670,000) should be recognized as a loss on sale, because the sale proceeds are less than the carrying amount. Any balance in revaluation surplus is now realised and should be transferred to retained earnings through the statement of changes in equity.

The journal entries are as follows:

| 1 January 2021 | | | |
|---|---|---|---|
| Debit | Non-current assets | Tk. 100,000 | |
| Credit | Other comprehensive income | | Tk. 100,000 |

Revaluation immediately prior to classification as held for sale.

| 1 January 2021 | | | |
|---|---|---|---|
| Debit | Non-current assets held for sale | Tk. 680,000 | |
| Debit | Profit & loss | Tk. 20,000 | |
| Credit | Non-current assets | | Tk. 700,000 |

Re-classification of non-current assets held for sale and re-measurement at fair value less cost to sell.

| 30 June 2021 | | | |
|---|---|---|---|
| Debit | Cash/Bank | Tk. 670,000 | |
| Debit | Profit & loss | Tk. 10,000 | |
| Credit | Non-current assets held for sale | | Tk. 680,000 |

De-recognition of non-current assets now sold and recognition of loss on disposal.

| 30 June 2021 | | | |
|---|---|---|---|
| Debit | Revaluation surplus | Tk. 10,000 | |
| Credit | Retained earnings | | Tk. 10,000 |

Transfer through statement of changes in equity of revaluation surplus now realised.

**Answer to the Question# 1 (c) (i):**

At the end of the reporting period, Cosmo disputes liability. However, the lawyer's advice is that it is more likey than not that Cosmo will be found liable. A present obligation should be assumed to exist.

Given that a single obligation is being measured, a provision is made for the outflow of the most likely outocme.

Consequently, a provision should be recognized for Tk. 100,000 (Tk. 20,000 court fees and damages plus Tk. 80,000 repair cost)

**Answer to the Question# 1 (c) (ii):**

A present obligation exists at the end of the reporting period based on historical evidence of items being repaired under the gurantee agreements.

Here, a large population of items is involved. A provision should therefore be recognized for the expected value of the outflow:

| | |
|---|---|
| 15,000 x 5% x 1/3 x Tk. 100 | Tk. 25,000 |
| 15,000 x 5% x 2/3 x Tk. 300 | Tk. 150,000 |
| Total | Tk. 175,000 |

**Answer to the Question# 2 (a):**

In establishing a dividend policy, the following are factors that should be taken into consideration:

- The expansion plans or goals of the organization and the need for monies to finance new activities.
- The investment opportunities available to the company versus the return available to shareholders on earnings distributed by way of a cash dividend.
- The possible effect on the market price of the company's shares of instituting a dividend, and the possible effect on financing alternatives.
- The earnings ability and stability of the company – past and future.
- The ability of the organization to maintain a given dividend in future years. To offer a dividend this year that cannot be maintained may be harmful. It could also be harmful to establish a policy seeming to call for increasing dividends over the years in the event the increase could not be kept up.
- The current position of the company. Is cash available to pay the dividend? Will working capital be decreased to a dangerous level?
- The possibility of offering a stock dividend in addition to or rather than a cash dividend.
- The dividend policies of other similar organizations.
- The general condition of the economy in the area where the company operates, as well as in the country in general.
- The tax situation of the company.
- Legal restrictions, such as a restrictive covenant in a bond indenture.
- Personal tax situations of shareholders if known -whether preference or capital gains.
- Degree of dispersion of shareholdings and shareholders' needs or preference for dividends.

**Answer to the Question# 2 (b):**

| | 2017 | 2018 | 2019 | 2020 | 2021 |
|---|---|---|---|---|---|
| Return on assets | 2,400/22,000 | 1,400/19,000 | 800/11,500 | 700/4,200 | 250/3,000 |
| | 10.91% | 7.37% | 6.96% | 16.67% | 8.33% |
| | | | | | |
| Profit margin on sales | 2,400/20,000 | 1,400/16,000 | 800/14,000 | 700/6,000 | 250/4,000 |
| | 12% | 8.75% | 5.71% | 11.67% | 6.25% |
| | | | | | |
| Earnings per share | 2,400/2,000 | 1,400/2,000 | 800/2,000 | 700/20 | 250/20 |
| | Tk 1.20 | Tk 0.70 | Tk 0.40 | Tk 35 | Tk 12.50 |
| | | | | | |
| Price earnings ratio | Tk 9/Tk 1.20 | Tk 4/Tk 0.40 | Tk 6/Tk 0.70 | | |
| | 7.5 times | 10 times | 8.6 times | | |
| | | | | | |
| Current ratio | Tk 8,000/Tk 4,400 | Tk 6,000/Tk 2,800 | Tk 3,000/Tk 1,800 | Tk 1,200/Tk 700 | Tk 1,000/Tk 600 |
| | 1.82 times | 2.14 times | 1.67 times | 1.71 times | 1.67 times |

**Answer to the Question# 2 (c):**

While the return on assets, profit margin on sales, and earnings per share have been increasing, the market price of the shares has not given full recognition to these increases. This suggests that market factors (and perhaps industry factors) are having a depressing effect on the market price of the shares. It may be suggested that the relatively low market price of the shares may be due, in part, to the fact that dividends have not been paid in the past. It may be concluded that the company is in an improving operating position and appears to be able to pay a dividend (though the amount of cash is not given). It would, however, be wise to examine as many as possible of the other internal and external factors outlined in part (i) to this case.

A dividend in the range of 12p to 36p being 10% to 30% of earnings per share for 2017 would appear to be reasonable. Cash required would be Tk 240,000 (0.12x 2,000,000) to Tk 720,000 (0.36x 2,000,000). Payments considerably in excess of Tk 720,000 would appear to have a serious impact on working capital. This would provide a yield of between 1.3% and 4% on the average 2017 market price.

**Answer to the Question# 3 (a):**

When intangibles are created internally, it is often difficult to determine the validity of any future service potential. To permit deferral of these types of costs would lead to a great deal of subjectivity because management could argue that almost any expense could be capitalized on the basis that it will increase future benefits. The cost of purchased intangibles, however, is capitalized because its cost can be objectively verified and reflects its fair value at the date of acquisition.

**Answer to the Question# 3 (b) (i):**

The amounts to be recorded on the books of Dada Sporting Ltd. as of December 31, 2020 for each of the properties acquired from Rupon Athletic Equipment Company are calculated as follows:

Cost allocations to acquired properties

| Taka amount | Appraisal value | Remaining purchase price allocations | Renovations | Capitalized Interest | Total |
|---|---|---|---|---|---|
| (1) Land | 2,900,000 | | | | 2,900,000 |
| (2) Building | | 770,000 | 1,000,000 | 210,000 | 1,980,000 |
| (3) Machinery | | 330,000 | | | 330,000 |
| Totals | 2,900,000 | 1,100,000 | 1,000,000 | 210,000 | 5,210,000 |

Supporting calculations

Balance of purchase price to be allocated:

| | |
|---|---|
| Total purchase price | Tk 4,000,000 |
| Less: Land appraisal | 2,900,000 |
| Balance to be allocated | 1,100,000 |

| | Appraisal value | Ratios | Allocated values |
|---|---|---|---|
| Building | 1,050,000 | 105/150 = .70 xTk 1100,000 | Tk 770,000 |
| Machinery | 450,000 | 45/150 = .30x Tk 1100,000 | Tk 330,000 |
| Totals | 1,500,000 | | Tk 1,100,000 |

| Capitalized interest expenditure | | Capitalized | Weighted average |
|---|---|---|---|
| Date | Amount Tk | period | accumulated expenditures |
| 1-Jan | 500,000 | 12/12 | 500,000 |
| 1-Apr | 1,200,000 | 9/12 | 900,000 |
| 1-Oct | 1,400,000 | 3/12 | 350,000 |
| 31-Dec | 1,900,000 | 0/12 | - |
| | 5,000,000 | | 1,750,000 |

| Weighted average accumulated expenditures | | Interest rate | | Avoidable interest |
|---|---|---|---|---|
| TK 1,750,000 | X | 12% | ,= | Tk 210,000 |

**Answer to the Question# 3 (b) (ii):**

Dada Sporting Ltd determine 2022 depreciation expense for book purpose, for each of the properties acquired from Rupon Atheletic Equipment Company is as follows:

1) Land – no deprecations
2) Building – Depreciation rate = 1.50 x 1/15 = 10
   2022 depreciation expense = Cost x Rate x ½ year
   = Tk 1,980,000x.10x1/2 = Tk 99,000
3) Machinery – Depreciation rate = 2.00x1/5= 0.4
   2022 depreciation expense = CostxRatex1/2
   = Tk 330,000x.40x1/2 = Tk 66,000

**Answer to the Question# 3 (b) (iii):**

Arguments for the capitalization of interest costs include the following:

(i) Diversity of practices among companies and industries called for standardization in practices.
(ii) Total interest costs should be allocated to enterprise assets and operations, just as material, labor and overhead costs are allocated. That is, under the concept of historical costs, all costs incurred to bring an asset to the condition and location necessary for its intended use should be reflected as a cost of that asset.

Arguments against the capitalization of interest costs include the following:

(i) Interest capitalized in a period would tend to be offset by amortization of interest capitalized in prior periods.
(ii) Interest cost is a cost of financing, not of construction.

**Answer to the Question# 3 (b) (iv):**

If Dada decides to use revaluation accounting for this building, then revaluation applies to all assets in that class of assets. Dada cannot selectively apply revaluation accounting to certain buildings but keep others at historical cost.

Dada should use revaluation accounting if they want to increase their equity base to help them meet covenant requirements or provide additional assurances to investors and creditors that the company is solvent.

Dada should not use revaluation accounting because of the continuing costs associated with appraisals to determine fair value. In addition, losses associated with revaluations decreases net income but gains associated with revaluations are not reported in net income but instead go directly to equity.

**Answer to the Question# 4 (a):**

(1) Income statement items and amounts for the year ended December 31, 2020:

| | |
|---|---|
| Research and development expenses* | 1,480,000 |
| Amortization of patent ( Tk 880,000/10years) | 88,000 |

*The research and development expenses could be listed by the components rather than in one total. The detail of the research and development expenses are as follows:

| | |
|---|---|
| Depreciation – building ( Tk 3,200,000/20 years) | Tk 160,000 |
| Salaries and employee benefits ( Tk 1,950,000 – 900,000) | 1,050,000 |
| Other expenses ( Tk 770,000 – TK 500,000) | 270,000 |

(2) Statement of Financial position items and amounts as of December 31, 2020:

| | |
|---|---|
| Land | Tk 600,000 |
| Building (net of accumulated dep of Tk 160,000) | 304,000 |
| Patent (net of amortization of Tk 154,000)* | 726,000 |
| Capitalized development costs ( Tk 900,000 + 500,000) | 1,400,000 |

*(( k880,000 /10)x3/4)+( Tk 880,000/10)
All research and development costs incurred on abandoned projects and projects in process should be charged to expense when incurred. The research and development costs incurred on completed projects with long term benefits are recorded as Capitalized development costs.

The patent was acquired for manufacturing rights rather than for use in research and development activities. Consequently, the cost of the patent can be capitalized as an intangible asset and amortized over its useful life.

**Answer to the Question# 4 (b):**

- **Reporting car facilities**

For the 10 employees' total loan will be taken for BDT 2,000,000 x 10 = 20,000,000 at 10% annual interest rate. As provided information, annual lease payment is 4,796,318. Ideally this payment would be recognized as employee benefit expenses. However, as Bee has entered into triparty arrangement, it has the obligation to make payment to the leasing company in case employees plans to stay with the company. Therefore, a lease liability should be recognized for BDT 20,000,000. Annual payments would be used for settling the outstanding obligation.

Although the cars are bought with loan using employee account, Bee limited has come control over the cars. Bee limited can pay off the entire lease and own the car before transferring them to employees after 5 years. Therefore, Bee limited should recognize these cars as its own with the amount equivalent to lease liabilities.

Car would be depreciated over 5 years and interest would be charged on lease liabilities. These expenses would be recognized as employee benefit expenses under IAS 19.

| Year | Opening | Payment | Interest | Closing |
|---|---|---|---|---|
| 1 | 20,000,000 | (4,796,318) | 1,520,368 | 16,724,050 |
| 2 | 16,724,050 | (4,796,318) | 1,192,773 | 13,120,506 |
| 3 | 13,120,506 | (4,796,318) | 832,419 | 9,156,607 |
| 4 | 9,156,607 | (4,796,318) | 436,029 | 4,796,318 |
| 5 | 4,796,318 | (4,796,318) | - | - |

In the first year, bee Limited should post following entry

| | | | | |
|---|---|---|---|---|
| 1. | ROU Asset | Dr. | 20,000,000 | |
| | Lease liabilities | Cr. | | 20,000,000 |
| 2. | Lease Liabilities | Dr. | 4,796,318 | |
| | Bank | Cr. | | 4,796,318 |
| 3. | Employee benefit Exp (Interest) | Dr. | 1,520,368 | |
| | Lease Liabilities | Cr. | | 1,520,368 |
| 4. | Employee benefit Exp (Depreciation) | Dr. | 4,000,000 | |
| | Acc. Depreciation-ROU | Cr. | | 4,000,000 |

- **Office rental**

Although Bee Limited has entered into rental contract for 1 year only bit it has renewal option. Bee intends to renew the lease and continue up to 5th year. Therefore, the lease term would be 5 years and should be considered for lease. Considering the 10% as discount rate, following amount should be recognized as ROU Assets & liabilities.

As per calculation, total ROU Asset & liabilities should be recognized as 125,095,963.

| Year | Lease Payment | Discount @ 10% | Present value |
|---|---|---|---|
| 0 | 30,000,000 | 1.00 | 30,000,000 |
| 1 | 30,000,000 | 0.91 | 27,272,727 |
| 2 | 30,000,000 | 0.83 | 24,793,388 |
| 3 | 30,000,000 | 0.75 | 22,539,444 |
| 4 | 30,000,000 | 0.68 | 20,490,404 |
| | | | **125,095,963** |

Lease amortization schedule is

| Opening | Payment | Interest | Closing |
|---|---|---|---|
| 125,095,963 | (30,000,000) | 9,509,596 | 104,605,560 |
| 104,605,560 | (30,000,000) | 7,460,556 | 82,066,116 |
| 82,066,116 | (30,000,000) | 5,206,612 | 57,272,727 |
| 57,272,727 | (30,000,000) | 2,727,273 | 30,000,000 |
| 30,000,000 | (30,000,000) | (0) | (0) |

Annual Depreciation on this ROU Asset would be 25,019,193 (e.g. 125,095,963/5).
Annual Interest on outstanding lease liabilities would be 9,509,596.

Following entries should be passed:

| | | | | |
|---|---|---|---|---|
| 1. | ROU Asset | Dr. | 125,095,963 | |
| | Lease liabilities | Cr. | | 125,095,963 |
| 2. | Lease Liabilities | Dr. | 30,000,000 | |
| | Bank | Cr. | | 30,000,000 |
| 3. | Interest Exp (Interest) | Dr. | 9,509,596 | |
| | Lease Liabilities | Cr. | | 9,509,596 |
| 4. | Depreciation Exp | Dr. | 25,019,193 | |
| | Acc. Depreciation-ROU | Cr. | | 25,019,193 |

**Answer to the Question# 5 (a):**

| Non-current asset held for sale | BDT |
|---|---|
| Revaluation on 31 December 2020 | 700,000 |
| Depreciation for the year to 31 December 2021 (700,000/40 years) | (17,500) |
| Carrying amount on classification as held for sale | 682,500 |
| Fair value less cost to sale (300,000 – 2,000) | (298,000) |
| Impairment loss in reclassification to held for sale | 384,500 |
| | |
| Revaluation surplus on 31 December 2010 (700,000-(500,000/50 years x 40 years) | 300,000 |
| Transfer to retained earnings for year to 31 December 2021 (17,500-(400,000/40) | (7,500) |
| Revaluation surplus on classification as held for sale | 292,500 |
| Total impairment loss in reclassification to held for sale | (384,500) |
| Impairment loss to go to profit or loss account | 92,000 |

| Journal entry: | Tk. | Tk. |
|---|---|---|
| Dr. Building- held for sale | 298,000 | |
| Dr. Accumulated depreciation | 17,500 | |
| Dr. Revaluation surplus | 300,000 | |
| Dr. Impairment loss | 92,000 | |
| Cr. Assets at revalued amount | | 700,000 |
| Cr. Retained earnings | | 7,500 |

**Answer to the Question# 5 (b):**

Inventory write down

| | Quantity | NRV per unit (BDT) | Valued at NRV (BDT) |
|---|---|---|---|
| PX98 | 1,000 | 4.60 | 4,600 |
| DC76 | 1,500 | 7.40 | 11,100 |
| BT52 | 5,000 | 1.10 | 5,500 |

Therefore, value of inventory is lower of Cost and NRV which is BDT 20,600 (4,600 NRV + 10,500 cost + 5,500 NRV)

Journal entries:

| | | |
|---|---|---|
| Inventory write down | | |
| Loss from valuation of inventory (P/L) | 17,900 | |
| Closing inventories – statement of financial position | | 17,900 |

**Answer to the Question# 6 (a):**

**Consolidated statement of profit or loss**
For the year ended 31 December 2021

| | **Taka** |
|---|---|
| Revenue (w2) | 1,924,900 |
| Cost of sales (w2) | (762,800 |
| Gross profit | 1,162,100 |
| Operating expenses (W2) | (390,300) |
| Profit from operations | 771,800 |
| Investment income (W2) | 56,000 |
| Sale of share of associates (W7) | 36,910 |
| Profit before tax | 864,710 |
| Income tax expenses (W2) | (277,000) |
| Profit for the period | 587,710 |
| Profit attributable to: | |
| Owners of Alom Ltd (B) | 543,550 |
| Non-controlling interest (6) | 44,160 |
| | 587,710 |

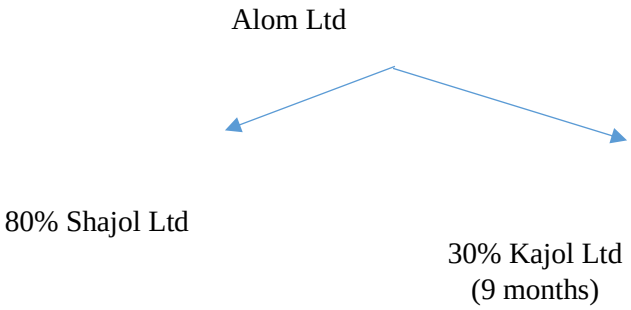
**Answer to the Question# 6 (b):**

**Consolidated statement of financial position**
At 31 December 2021

| | **Taka** |
|---|---|
| Equity | |
| Share Capital | 3,000,000 |
| Retained earnings (W9) | 618,990 |
| | 3,618,990 |
| Non-controlling interest | 291,310 |
| **Total equity** | **3,910,300** |

**Workings:**

**1. Group structure**




**2. Consolidation schedule**

| | Total Taka | Shajol Ltd Taka | Adjustment Taka | Total Taka |
|---|---|---|---|---|
| Revenue | 1,105,000 | 864,900 | | 1,924,900 |
| Deposit adjustment | | (45,000) | | |
| Cost of sales-per question | (353,600) | (389,200) | | |
| PURP NCA (W5) | (20,000) | | | (762,800) |
| Cost of sales-per question | (290,400) | (98,650) | | |
| Fair value adj. (amort) (W3) | | (1,250) | | (390,300) |
| Investment income | 96,000 | | | |
| Shajol Ltd's dividend (50,000 x80%) | | | (40,000) | 56,000 |
| Tax | (167,000) | (110,000) | | (277,000) |
| **Profit after tax** | | **220,800** | | |

**3. Fair value adjustment**

Additional fair value Taka 10,000

Additional amortization charge in year Taka 10,000 / 8 years = Taka 1,250

**4. Unrealized profit**

Unrealised profit = Taka 90,000 /120 x 20 x 1/4= Taka 3,750

Alom Ltd's share of Kajol Ltd's PURP – Taka 3,750 x 30% = Taka 1,125

**5. Unrealized profit on sale of machine**

| | **Taka** |
|---|---|
| Carrying amount of the machine in Shajol Ltd's book at 120,000 x 4/5 | 96,000 |
| If assets would not transferred, carrying amount would have been Taka 95,000 x 4/5 | (76,000) |
| | 20,000 |

**6. Non-controlling interest**

| | |
|---|---|
| Shajol Ltd;s (20% x (220,800 (W2) | Taka 44,160 |

**7. Associates**

| | **Taka** |
|---|---|
| Profit for the year (204,600 x 9/12) | 153,000 |
| Alom Ltd's Share x 30% | 46,035 |
| PURP (W4) | (1,125) |
| Less: impairment for the year | (8,000) |
| Share of associate's profit | 36,910 |

**8. Shajol Ltd's retained earnings**

| | **Taka** |
|---|---|
| At 31 December 2021 | 395,300 |
| Revenue adjustment | (45,000) |
| FV amortization adjustment (Taka 1,250 x 3 years) | (3,750) |
| At date of acquisition | (160,700) |
| | 185,850 |

**9. Consolidated retained earnings**

| | **Taka** |
|---|---|
| Alom Ltd's c/fwd | 468,400 |
| Less PURP NCA | (20,000) |
| Shajol Ltd's (80% x 185,850 (W8) | 148,680 |
| Less impairment | (15,000) |
| Kajol Ltd (W7) | 36,910 |
| | 618,990 |

**10. No-controlling interest - SFP**

| | **Taka** |
|---|---|
| Shajol Ltd | |
| Net assets per question | 1,495,300 |
| Revenue adjustment | (45,000) |
| FV amortization adjustment (W8) | (3,750) |
| FV adjustment - Intangible | 10,000 |
| | 1,456,550 |
| NCI share x 20% | 291,310 |

---The End---